CLIENT RESEARCH BRIEF · PREPARED FOR THE ENGAGEMENT TEAM

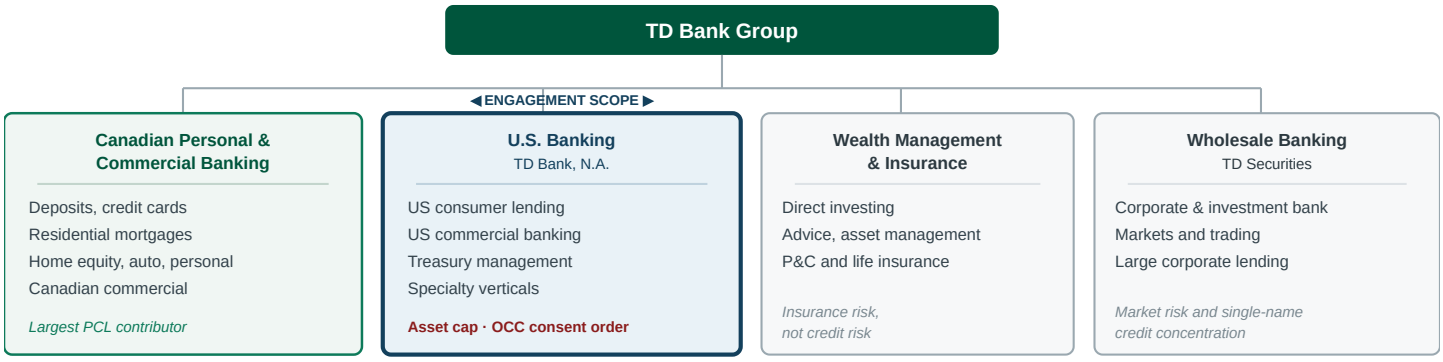
TD — Risk Reporting, Metrics and Appetite

Consumer and commercial risk reporting at TD Bank Group: the products, the risk types and their standard definitions, the metrics that measure them, what the second line tracks, the risk appetite framework, and the vocabulary their reporting is written in.

14.5%	0.43%	31.1%	4.5%	$434bn
CET1 RATIO · Q1 FY26	PCL RATIO · Q1 FY26	TLAC RATIO	LEVERAGE RATIO	US ASSET CAP

01 Structure

TD Bank Group is a Canadian bank — the Toronto-Dominion Bank — listed on the TSX and NYSE, reporting under **IFRS** with a fiscal year ending **31 October**. Those two facts drive most of the vocabulary differences in §5. Its primary prudential regulator is OSFI in Canada; its US operations fall under the OCC, Federal Reserve and FDIC.



Plus a **Corporate** segment carrying treasury activity, the anti-money-laundering remediation programme costs, and other non-segment items.

Consumer lending sits in Canadian P&C and U.S. Banking. Large corporate credit and market risk sit in Wholesale.

02 The risk types — standard definitions

TD's Enterprise Risk Framework names twelve risk categories. These are the standard industry definitions; the second line oversees all twelve and the appetite dashboard carries metrics against each.

RISK TYPE	STANDARD DEFINITION	HOW IT IS MEASURED AND REPORTED
Credit	The risk of loss when a borrower or counterparty fails to meet its financial obligations.	PCL, gross impaired loans, delinquency and flow rates, risk ratings, expected loss as PD × LGD × EAD. The dominant risk in a consumer lending book.
Market	The risk of loss from movements in market prices — interest rates, foreign exchange, equity prices, commodity prices and credit spreads.	Value at Risk, stressed VaR, sensitivity measures, trading limits. Concentrated in Wholesale Banking.
Liquidity	The risk of being unable to meet financial obligations as they fall due, without incurring unacceptable loss.	Liquidity Coverage Ratio, Net Stable Funding Ratio, survival horizon, funding concentration.

Operational	The risk of loss from inadequate or failed internal processes, people and systems, or from external events. Includes technology, cyber security and infrastructure risk.	Operational loss events and amounts, risk and control self-assessments, key risk indicators, incident volumes.
Model	The risk of adverse consequences from decisions based on incorrect or misused model outputs — whether from a flawed model or from using a sound model inappropriately.	Model inventory, validation findings and their status, performance monitoring against thresholds, model tiering. Governed under SR 11-7 in the US.
Insurance	The risk of loss when actual claims experience differs adversely from the assumptions used in pricing and reserving.	Claims ratios, reserve adequacy, catastrophe exposure. Sits in Wealth Management and Insurance.
Capital adequacy	The risk of having insufficient capital to absorb losses and support the business, or of failing to meet regulatory capital requirements.	CET1, Tier 1, Total Capital and leverage ratios; internal capital adequacy assessment; stress testing.
Strategic	The risk of loss arising from ineffective business strategies, improper implementation of strategy, or failure to respond to changes in the operating environment.	Largely qualitative — performance against strategic objectives, competitive position, board-level review.
Legal	The risk of loss from failure to comply with legal obligations, from unenforceable contracts, or from litigation.	Litigation provisions and exposure, legal event tracking.
Regulatory compliance and conduct	The risk of failing to comply with laws, regulations and regulatory expectations, and the risk that conduct produces unfair outcomes for customers or harms market integrity.	Regulatory findings and their remediation status, complaints, conduct indicators, compliance testing results, financial crime measures. **Currently elevated at TD — see §8.**
Reputational	The risk of loss arising from negative perception on the part of customers, counterparties, shareholders, regulators, employees or the public.	Largely qualitative — a formal reputational risk review sits in new product and material transaction approval.
Environmental and social	The risk of loss or harm arising from environmental or social impacts of the bank's own operations or of the clients and activities it finances, including climate-related transition and physical risk.	Sector exposures, financed-emissions disclosure, climate scenario analysis.

WHY THIS LIST MATTERS FOR OUR SCOPE

Our engagement is credit-risk reporting, but the appetite dashboard the second line maintains covers all twelve. If our automated outputs feed that dashboard, they sit alongside operational, compliance and capital metrics — which is why definition governance and traceability are held to a common standard across the suite rather than negotiated per report.

03 Product map

Consumer / personal (US)

CATEGORY	PRODUCTS
Deposits	TD Complete and TD Beyond Checking, TD Signature Savings, CDs, IRAs, student accounts, cross-border banking
Cards	Rewards, cash back, balance transfer, travel, low intro APR, no annual fee, credit-building, business
Real estate secured	Residential mortgages, home equity loans and lines
Unsecured	TD Fit Loans (to $50K), TD Debit Card Advance
Auto	TD Auto Finance — indirect, via dealers

Risk read. Cards and personal loans are probability-of-default problems managed at acquisition and in collections. Mortgages, home equity and auto are loss-severity problems managed through loan-to-value and resolution timelines. Reporting them as one blended delinquency number hides two different stories.

Commercial (US)

CATEGORY	PRODUCTS
Core lending	Commercial financing, asset-based financing, equipment finance, commercial real estate
Sponsor & leveraged	Sponsor financing, capital call facilities, platform LBO, acquisition financing, dividend recaps
Franchise	McDonald's financing, restaurant and other franchise lending
Treasury management	Liquidity, payables, receivables, commercial cards, fraud control, information services
International	Global trade finance, FX, international payments
Verticals	Healthcare, government & municipal, education, not-for-profit, industrials, consumer & retail, technology, professional services

Risk read. Sponsor finance, leveraged lending and commercial real estate carry elevated attention as categories. Capital call facilities are structurally low-loss — repayment comes from committed investor capital, not operating performance. Treasury management is fee income carrying operational and fraud risk, not credit.

04 Two different reporting machines

CONSUMER / RETAIL

Managed as
Statistical pools. Millions of small, homogeneous exposures — no single account matters on its own.

Risk measured by
Bureau score bands, delinquency buckets, vintage curves, roll rates, loan-to-value for secured lending.

Deterioration looks like
Flow rates rising, cures falling, a vintage curve sitting above its peers at the same age.

Concentration
Geography, product, score band, channel.

COMMERCIAL / WHOLESALE

Managed as
Named obligors, reviewed one by one. A single borrower can move the portfolio number.

Risk measured by
Internal ratings — a borrower risk rating (probability of default) and a facility risk rating (loss given default).

Deterioration looks like
Downgrades, watchlist additions, covenant breaches, migration into criticised and classified categories.

Concentration
Single name, industry, structure (CRE, leveraged).

The two suites cannot share a template. Consumer is high-volume, monthly and automated, driven by cuts and trends across pools. Commercial is name-level, quarterly-reviewed with a continuous watchlist, and a large part of the report is individual credit commentary.

Consumer risk metrics

METRIC	DEFINITION	WHAT IT TELLS YOU

Delinquency rate	Balance (or accounts) 30+ / 90+ days past due ÷ total	Report dollar and unit both. Dollar above unit means larger balances are failing — severity, not frequency.
Flow / roll rate	Balance moving from bucket X to X+1 next cycle ÷ balance in X	Leads the delinquency rate. Where next quarter's losses are already visible.
Net flow	Gross forward flow − cures	The only measure that actually changes bucket size.
Vintage loss curve	Cumulative net loss ÷ original booked balance, by months on book	Removes growth and maturation from the comparison. Separates a bad cohort from an ageing book.
PCL ratio	Annualised provision for credit losses ÷ average credit volume	TD's headline credit metric, split performing vs impaired.
Net write-offs	Write-offs less recoveries	Realised loss. Timing is policy-driven, so check policy before reading a movement as credit.
Loan-to-value	Balance ÷ collateral value; combined across liens for CLTV	The severity driver in secured lending. TD also splits Canadian mortgages insured vs uninsured.
Utilisation	Balance ÷ authorised limit	Leading stress indicator in cards and home equity lines.
Score distribution	Book and new-booking mix across bureau score bands	The input to any mix-versus-rate decomposition.

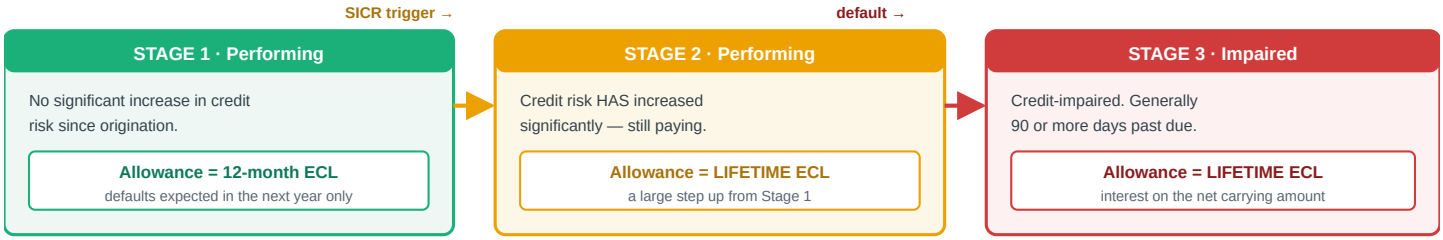
Commercial risk metrics

METRIC	DEFINITION	WHAT IT TELLS YOU
Borrower risk rating	Internal grade mapping to a probability of default, attaching to the obligor	The spine of commercial reporting — everything is cut by rating.
Facility risk rating	Grade reflecting loss given default — security, seniority, structure	Two facilities to the same borrower can carry very different expected loss.
Rating migration matrix	Movement between grades over a period	The commercial equivalent of a roll-rate matrix. Net downgrades is the headline.
Watchlist	Names under heightened monitoring before impairment	The early-warning population; additions and removals are reported.
Criticised / classified	Special mention, substandard, doubtful, loss — ascending severity	Regulator-facing language; examiners use these categories directly.
Gross impaired loans and formations	Stock of impaired exposure; new impaired loans in the period	Formations is the flow measure and more informative than the slow-moving stock.
Exposure at default	Drawn balance plus expected drawdown of undrawn commitments	Borrowers draw revolvers as they deteriorate — undrawn is live exposure.
Covenant breaches	Count and severity of breached loan terms	Often the earliest signal available — triggers on financial performance, before any missed payment.
Concentration	Largest single names; exposure by industry and by structure	The dominant commercial limit type, with no consumer equivalent.

05 The language their reporting is written in

TD reports under **IFRS 9**, not US GAAP CECL, and uses Canadian banking terminology. Using the wrong word signals immediately that the author has not read their disclosures.

IFRS 9 — the three-stage expected credit loss model that structures every credit number TD publishes



Provision for Credit Losses (PCL) — the income-statement charge, reported in two halves

PCL — Stage 1 and Stage 2 (performing)
Reserve build or release on loans still paying. Driven by stage migration and forward-looking macro scenarios.
The forward-looking half

PCL — Stage 3 (impaired)
Provisions against loans that have actually gone bad. Tracks realised credit experience.
The backward-looking half

The split carries the meaning. Performing PCL rising while impaired PCL is flat means the outlook deteriorated — usually a scenario update — not the book. That distinction is a standard question in any TD credit discussion.

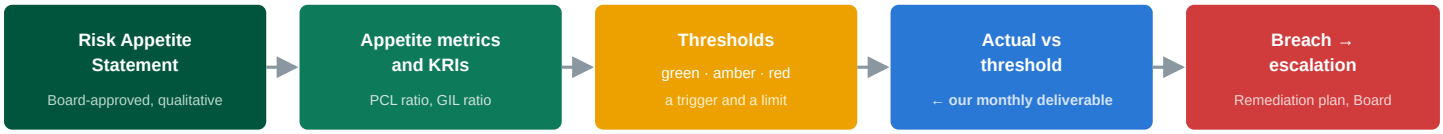
TD / IFRS TERM	US GAAP EQUIVALENT	NOTE
Provision for credit losses (PCL)	Provision expense	The P&L charge, split performing vs impaired.
PCL ratio	Provision rate	Annualised PCL as a % of average credit volume. **0.43% in Q1 FY26.**
Gross impaired loans (GIL)	Non-performing loans	Stock of impaired exposure. "Formations" = new impaired loans in the period.
Allowance for credit losses (ACL)	ACL / reserve	Same term, but built on IFRS 9 staging rather than CECL lifetime-for-all.
Stage 1 / 2 / 3	— none —	CECL has no staging: lifetime loss from day one. The single biggest difference.
SICR	—	Significant Increase in Credit Risk — the Stage 1 → Stage 2 trigger.
Write-offs	Charge-offs	Canadian usage. Net write-offs = write-offs less recoveries.
Loans and acceptances	Loans	Bankers' acceptances are a Canadian instrument in the denominator.
RESL	Mortgage + home equity	Real Estate Secured Lending — TD's standard portfolio grouping.
Insured vs uninsured mortgages	— no direct equivalent —	Canadian mortgage insurance transfers credit risk to the insurer, changing the loss profile.
FLI / scenarios	Reasonable & supportable forecast	Forward-Looking Information — probability-weighted base, upside and downside macro scenarios.
Q1 = Nov–Jan	—	Fiscal year ends 31 October.

PRACTICAL IMPLICATION

If the engagement touches the US entity, both frameworks may be live at once — IFRS 9 for group reporting and US GAAP CECL for US regulatory filings. **Confirm early which basis each report is built on.** The same portfolio produces different allowance numbers under each, and a reconciliation that ignores the basis will never tie.

06 Risk appetite

How a board statement becomes a number in a monthly report



TRIGGER — early warning

Breaching it starts a conversation and creates a watch item. Management attention, nothing formal.

LIMIT — hard boundary

Breaching it requires formal escalation, a documented remediation plan, and board-level reporting.

Using "trigger" and "limit" interchangeably in front of a risk committee is an immediate credibility cost. Most of the monthly narrative work is explaining ambers: what drove it, whether it is temporary, what is being done, when it returns to green.

TD'S RISK APPETITE PRINCIPLES — QUOTED FROM THEIR 2025 ANNUAL REPORT

Risks taken must: **"Fit our business strategy and can be understood and managed"** · **"Do not expose the enterprise to any significant single loss events"** — TD states it does not "bet the bank" on any single acquisition, business, product or decision · **"Do not risk harming the TD brand"**

TD frames risk culture as **"Own it, Raise it and Know it."**

Supporting concepts: a **Key Risk Indicator** is forward-looking (flow rates, utilisation, booking mix by score band); a **Key Performance Indicator** is an outcome (the loss rate). Appetite frameworks want both — indicators warn, outcomes confirm. Concentration limits sit alongside performance limits and are often where a breach appears first.

07 What the second line tracks

1st LINE · The Business

Owns and manages the risk

- Originates the business
- Makes the credit decisions
- Runs day-to-day controls
- Underwriting, line management, collections
- Self-assesses its own controls

Reports: "here is how my business performed"

2nd LINE · Risk Management

Sets rules, oversees, challenges

- Owns the risk framework and policies
- Sets and monitors limits
- Independently challenges the 1st line
- Monitors appetite, escalates breaches
- Independent opinion on new products
- Model risk management and validation
- Compliance, conduct, financial crime
- **Aggregate risk reporting to the Board Risk Committee**

3rd LINE · Internal Audit

Independent assurance

- Tests whether lines 1 and 2 actually do what they claim
- Reports to the Audit Committee of the Board, not to management
- Validates remediation — including the AML programme through 2026

Will ask for evidence of controls, review and change management

This is the audience our reporting serves

A second-line report is an independence artifact. That is why traceability to source, metric-definition governance and reconciliation are design requirements rather than refinements — and why establishing which line a report belongs to comes before touching it.

08 Current context

ITEM	STATUS AND WHY IT MATTERS TO THE ENGAGEMENT
US AML remediation	Following an October 2024 guilty plea and over $3bn in combined penalties, TD operates under an OCC consent order. It spent $507m on remediation in fiscal 2025 and expects comparable spending in 2026, and reported the majority of remediation actions complete as of December 2025 — with much of 2026 focused on internal audit validation of what has been implemented. **Implication:** evidence, traceability and control documentation are under unusually intense scrutiny across the US bank. Any reporting change will be expected to carry an audit trail from the outset.
US asset cap	US operations are capped at $434bn; assets stood at approximately $382bn as of 31 October 2025. No date has been announced for lifting it — TD has said it must demonstrate sustainability over the long term to earn release. **Implication:** US balance-sheet growth is constrained, so portfolio movements are more likely to be mix and repricing than volume growth. That changes how a variance should be interpreted.
Data and reporting standards	As a global systemically important bank, TD's risk data aggregation and reporting is measured against the Basel Committee's **BCBS 239** principles — accuracy and integrity, completeness, timeliness, adaptability, and clarity and usefulness of reporting. **Implication:** this is the natural anchor for lineage, reconciliation and metric-definition governance in the automation programme, rather than arguing each from first principles.

09 Implications and open questions

What this tells us about the work

- The reporting-basis question comes first. IFRS 9 staging and PCL for group; potentially CECL for US regulatory. Every metric definition depends on the answer.
- Consumer and commercial suites cannot share a template — different grains, risk measures and cadence.
- Second-line reporting carries an independence requirement, so traceability to source is a design requirement, not a refinement.
- BCBS 239 gives a recognised standard to anchor the definition-governance work.
- The audit-validation phase of AML remediation means evidence expectations are currently high across the US bank.
- The appetite dashboard spans all twelve risk categories, so our outputs are held to a suite-wide standard, not a per-report one.

Questions to put to the client

- Which reporting basis applies to each report in scope — IFRS 9, CECL, or both?
- Is our scope group-level, the U.S. Banking segment, or the legal entity?
- Where does the current appetite threshold table live, and who owns it?
- Which reports go to the Board Risk Committee and which are management information?
- Which outputs in scope are governed as models under SR 11-7?
- Where do numbers currently disagree between reports, and is that known?
- What is the charge-off policy by product, and has it changed in the last 24 months?
- How are restatements and back-dated corrections handled today?
- What has already been attempted on automation, and why did it stall?

Sources. TD Bank Group Q1 2026 Report to Shareholders — segments, capital ratios and PCL metrics · TD Bank Group 2025 Annual Report, "Managing Risk at TD" — risk appetite principles and risk culture · TD Bank Group Management's Discussion and Analysis — Enterprise Risk Framework risk categories · TD US personal banking and commercial banking product pages · American Banker, December 2025 — AML remediation status and asset cap. Risk-type definitions in §2 are the standard industry formulations, aligned to TD's named categories. Figures are as reported at the dates shown and should be refreshed before external use.